

Netweb Technologies India Ltd

Concall-Tracker report · Screener ticker NETWEB · 12 earnings-call transcripts read (Q1 FY24 → Q4 FY26) · prepared 04 Jul 2026

1. Snapshot

What the business does (one line): Netweb is India's leading "Make-in-India" builder of high-end computing hardware — it designs and manufactures supercomputers (High-Performance Computing, or HPC), AI servers (machines packed with graphics chips that train and run artificial-intelligence models), private-cloud systems and data-storage boxes, and sells them with its own software and support. In plain terms: it is a home-grown rival to foreign server giants, now riding India's AI build-out.

Figure (from the calls)	Value	Plain-English read
FY26 revenue	₹2,183.6 cr, up 90% YoY	Total sales for the year ended March 2026 nearly doubled — a landmark year.
FY26 net profit (PAT)	₹205.8 cr, up 81% YoY	Profit after tax — the money left for shareholders — grew even faster than sales in relative terms was slightly slower, but still strong.
FY26 operating margin (EBITDA)	~13% (₹284.8 cr)	Operating profit before interest, tax and depreciation is about 13 paise on every rupee of sales — deliberately kept modest to win share.
FY26 return on capital (ROCE)	37.5%; ROE 32.9%	For every ₹100 of capital in the business it earns ~₹37 a year — a very high, asset-light return.
Debt	Zero net debt; ~₹83 cr net cash	The company owes the bank nothing on a net basis and sits on spare cash (a short-term working-capital loan for big orders is transitory, not structural).
3-year sales path	₹724 cr → ₹1,149 cr → ₹2,184 cr	FY24 → FY25 → FY26: sales roughly tripled in three years (+63%, +59%, +90%).
Promoter holding	75.4% → 67.0% (Sep'23→Mar'26)	Founders trimmed their stake via secondary sales (they call it liquidity, not a warning sign); public float rose from 6.8% to 19%.

Note: the scraped snapshot CSVs held only row labels (no numeric columns except shareholding), so the numbers above are taken directly from the earnings-call disclosures. Market capitalisation was not available in the snapshot data.

2. Concall coverage

Twelve consecutive quarterly earnings-call transcripts were read, oldest to newest — a clean three-year run from the company's first post-IPO call to its latest. This is an unusually complete record for judging consistency.

Quarter	Call date	Revenue direction	Read?
Q1 FY24 (Jun 2023)	14 Aug 2023	₹60 cr, down 13% YoY (billing spillover)	Yes
Q2 FY24 (Sep 2023)	02 Nov 2023	₹148 cr, +97% YoY	Yes
Q3 FY24 (Dec 2023)	24 Jan 2024	₹253 cr, +42% YoY	Yes
Q4 & FY24 (Mar 2024)	02 May 2024	FY24 ₹724 cr, +63% YoY	Yes
Q1 FY25 (Jun 2024)	22 Jul 2024	₹149 cr, +150% YoY	Yes
Q2 FY25 (Sep 2024)	21 Oct 2024	₹251 cr, +73% YoY	Yes

Q3 FY25 (Dec 2024)	20 Jan 2025	₹334 cr, highest-ever quarter	Yes
Q4 & FY25 (Mar 2025)	05 May 2025	FY25 ₹1,149 cr, +59% YoY	Yes
Q1 FY26 (Jun 2025)	01 Aug 2025	₹301 cr, +102% YoY	Yes
Q2 FY26 (Sep 2025)	03 Nov 2025	₹304 cr, +21% YoY	Yes
Q3 FY26 (Dec 2025)	19 Jan 2026	₹805 cr, +141% YoY, highest-ever	Yes
Q4 & FY26 (Mar 2026)	04 May 2026	FY26 ₹2,184 cr, +90% YoY	Yes

Filename months are upload artifacts; periods above are taken from each transcript's header. Span: 3 full years, 12 quarters.

2b. Latest concall highlights — Q4 & full-year FY26 (call held 04 May 2026)

- **Record year:** FY26 revenue **₹2,183.6 cr, up 90%**, and profit **₹205.8 cr, up 81%** — sales nearly doubled in one year. Q4 alone was ₹773.7 cr (up 87%).
- **The AI pivot is now the whole story:** AI systems grew **+460% in FY26** and are now **43.4% of revenue** (from ~15% a year earlier) — nearly half the company is now AI hardware.
- **Order book bigger than the year just finished:** Netweb entered FY27 with a firm order book of **~₹2,100 cr plus ~₹300–350 cr of near-won orders (~₹2,400 cr total)** — more than all of FY26's sales, already booked on day one. About ₹1,650 cr of this is the big sovereign-AI "strategic" order still to be delivered.
- **New factory live:** a new ~15,000 sq ft plant was commissioned to build dense, liquid-cooled GPU systems (>150 kW per rack) — the gear needed for large government and cloud AI deployments.
- **Cash return & tone:** dividend raised to **₹3/share**; tone confident ("landmark year", entering FY27 "from a position of strength"). Two honest caution points: operating margin slipped to ~12.5% as lower-margin big orders scaled, and a global memory-chip shortage is a watch-item (management says it can pass costs through).

2c. Business mix & capacity (quick facts)

Domestic vs export: roughly **~95% domestic / ~5% exports** in FY26 — almost all sales are inside India, and management deliberately keeps exports small (~5%) because home demand takes priority. Exports were guided toward ~10% over 2–3 years but have not moved much.

Segment split (FY26): AI systems ~43%, HPC/supercomputing ~24% (still grew ~31% in rupees — it only looks smaller because AI ballooned), Private Cloud/storage the rest; plain data-centre "box" servers ~5% and not a focus. Customer base ~50% government / ~50% large enterprises.

Capacity utilisation: plants running at **~65–70%** as of Q4 FY26 — there is ~30% headroom before new capacity is needed. Total capability now supports up to **₹2,500–3,000 cr of revenue** with only routine (₹20–25 cr) capex planned for FY27, so growth needs little new investment.

3. Earning Trigger thesis ★

The headline driver is simple: **India is building AI compute, and Netweb is the only home-grown company that can design and manufacture the full stack of AI servers, supercomputers and the software to run them.** Over three years the story evolved sensibly — from a broad "Make-in-India servers on the back of import restrictions" pitch (2023) into a concentrated **sovereign-AI** bet. The proof is in the mix: AI hardware went from ~11% of sales to 43% in three years, and a single ~₹2,184 cr strategic order tied to the government's IndiaAI Mission (10,000 GPUs today, talk of scaling to 25,000–100,000) now

underpins FY27. The company is one of fewer than ten NVIDIA OEM partners worldwide, giving it priority on the newest chips.

Trigger	What management said	Evidence so far	Horizon	Strength
AI-server demand	AI would become the fastest-growing pillar, rising toward 20%+ of revenue	AI went 11% → 43% of sales; +460% in FY26 — blew past the target	Live, multi-year	Strong
Sovereign-AI strategic orders	₹2,184 cr order won (Q2 FY26) tied to IndiaAI Mission; GPUs scaling 10k→25k→100k	₹450 cr already delivered in Q3 FY26; ~₹1,650 cr sits in FY27 backlog	FY26–FY27+	Strong
Make-in-India + NVIDIA OEM tie-up	Full-stack domestic maker; NVIDIA "elite" partner; import-restriction tailwind	₹147 cr ISRO supercomputer won; NVIDIA CEO endorsement; on Blackwell/Rubin roadmap	Structural	Strong
30–35% → 35–40% revenue CAGR	Reaffirmed every call; guidance raised in May 2025	Delivered +63% / +59% / +90% — ahead of its own guidance every year	Ongoing	Strong
5G ORAN & networking switches	New product lines to add revenue from FY24/FY25	Switches missed the ₹15–20 cr FY24 target; 5G ORAN repeatedly slipped, still not material	Long / uncertain	Weak

4. Management Consistency scorecard

Period	What was promised	What actually happened	Verdict
FY24	Revenue >₹600 cr; margin held ~14–15%	FY24 revenue ₹724 cr; EBITDA margin 14.2%	Delivered
FY24	Networking switches ~₹15–20 cr in the year	Launched late, fell well short	Missed
FY25	30–35% growth; AI toward ~15%; margin ~14%	Revenue +59% (₹1,149 cr); AI 14.8%; margin 13.9%	Delivered
May 2025	Guidance <i>raised</i> to 35–40% CAGR; AI toward 20%	FY26 revenue +90%; AI reached 43% — beat both	Delivered (over)
FY26	₹2,184 cr strategic order; ~1/3 to bill in FY26	₹450 cr delivered in Q3 (pulled forward); on track	Delivered
Ongoing	Maintain ~14% EBITDA margin	Drifted to 12.2–12.5% as big low-margin orders scaled	Partly
Since FY24	5G ORAN commercialisation "near"	Still not a real revenue line by FY26	Dropped

Narrative drift: Remarkably steady. The same core mantras recur across all 12 calls — three pillars (HPC / Private Cloud / AI), "capability-driven not capacity-driven", full-stack Make-in-India, ~14% operating margin, ~₹4,000 cr sales pipeline at ~60% conversion. The story *evolved sensibly* rather than lurching: the broad server pitch narrowed into a concentrated, and now proven, AI bet. Two honest blemishes: management openly *walked its margin target down early* (from 16–17% to 14–15%, now guided 13–14%), and two side products (switches, 5G ORAN) quietly slipped. Tone was confident-but-candid throughout — they consistently pre-empted the "order book isn't growing" and "lumpy quarters" worries by pointing to full delivery and annual (not quarterly) trends. Housekeeping changes: CFO moved from Prawal Jain to Ankit Kumar Singhal (FY25); a Chief Strategy Officer was added (FY26); promoters trimmed their stake 75%→67% via secondary sales, stated as liquidity with no further dilution planned.

5. Bottom line — two verdicts

Durable earning trigger? → YES

This is about as concrete and live as an earning trigger gets. The driver — AI-server demand and India's sovereign-AI build-out — is not a promise but an already-visible result: AI went from a tenth of the business to nearly half in three years, a ₹2,184 cr strategic order is being delivered, and the company walked into FY27 with an order book larger than its entire prior-year revenue. It has a genuine moat (only full-stack domestic maker, one of <10 NVIDIA OEM partners) and needs almost no new capital to grow. The only real qualifiers — slimmer margins on the big orders and a global memory-chip shortage — affect the *quality* of the earnings, not the existence of the trigger.

Management consistent? → YES

Across 12 straight calls management said what it would do and then did it — three consecutive "highest-ever" years, growth that beat its own guidance every single year, and a guidance *upgrade* (not a quiet climb-down) that they then exceeded. The record is not spotless: they walked the margin target down early and two minor products (networking switches, 5G ORAN) slipped and faded. But those are honest, disclosed misses on the periphery of a story whose core has stayed rock-steady and been over-delivered. This is a MAYBE only on the margin-discipline nuance; on the substance — promised-vs-delivered — it is a clear YES.

Prepared from Netweb Technologies India Ltd earnings-call transcripts, Q1 FY24 (Aug 2023) through Q4 FY26 (May 2026). All figures as disclosed by management on those calls.